Learning unit 2: Topic 2– Deferred Tax
Activity 2.5

Question 1 (40 marks) (72 minutes)

SecureWater Ltd, a listed company, provides water testing services in South Africa and neighbouring countries. The following information was presented to you as you are requested to assist in finalising the accounting records and preparing the annual financial statements.

1. Taxation

The normal South African tax rate changed from 28% in 20x22 to 27% in 20x23. The capital gains tax inclusion rate is 80%. The tax assessment for the 20x22 financial year showed an assessed loss of R375 000, which agrees with the accounting records of SecureWater Ltd.

SecureWater Ltd made the following provisional tax payments for the year ended 31 December 20x23, which have **not** yet been recorded in the financial records of SecureWater Ltd:

	R
31 July 20x23 (including interest amounting to R19 500)	559 500
31 December 20x23	270 000
	829 500

Deferred tax is provided for on all temporary differences, using the statement of financial position approach. There are no other exempt or temporary differences except those mentioned in the question. There is certainty beyond reasonable doubt that the company will have sufficient taxable profit in future against which any deductible temporary differences can be utilised. The deferred tax asset balance on 31 December 20x22, **which you may assume to be correct**, amounted to R159 935.

2. Dividends

On 18 December 20x23, the board of directors of SecureWater Ltd declared dividends, payable to the following registered shareholders, for the financial year ended 31 December 20x23:

	R
4Future Ltd	405 000
Mr Gregory Flint	240 000
Mr Samuel Sithole	390 000
LOL Ltd	165 000
	1 200 000

The above dividends are subject to dividends tax of 20%, where applicable. The dividends, as well as the dividends tax, were paid on 10 January 20x24. The dividend transactions have **not** been recorded yet in the draft financial statements of SecureWater Ltd for the year ended 31 December 20x23.

3. Accounting policies and assumptions

Land, buildings and mobile laboratory units are accounted for in accordance with the **cost model**.
Assume all amounts are material.
Ignore the implications of Value Added Tax (VAT).

4. Profit before tax

The profit before tax of SecureWater Ltd for the year ended 31 December 20x23 amounted to R 3 730 125, including the following items:

Question 1 continued

	Additional information	R
Income		
Foreign income received from Lesotho	4.1	300 000
Foreign taxes amounting to R75 000 was paid on the foreign income		
Dividends received from unlisted investments		150 000
Credit losses	4.2	45 000

	Additional information	R
Expenses		
Depreciation – headquarters building	4.3	135 000
Fines paid to the Metro Police		9 000
Test sample banking/storage	4.5	18 000

Additional information

4.1 Foreign income received from Lesotho

SecureWater Ltd received income from Lesotho for surface water quality testing and analysis services rendered in October 20x23, which is not taxable in South Africa in terms of a double taxation agreement. SecureWater Ltd paid 25% foreign tax on this foreign income received.

4.2 Allowance for credit losses

The balance of the allowance for credit losses in the statement of financial position of SecureWater Ltd on the respective dates was as follows:

	R
31 December 20x22	170 000
31 December 20x23	125 000

Actual credit losses incurred are written off directly to the statement of profit or loss and other comprehensive income and not against the allowance for credit losses. The SA Revenue Service allows 25% of the allowance for credit losses as a deduction for tax purposes.

4.3 Headquarters property

On 1 January 20x21, SecureWater Ltd acquired a property to be used as the company's headquarters for R3 450 000 (land: R750 000; building: R2 700 000). The building was available for use, as intended by management, as well as brought into use on the acquisition date. On the acquisition date, an insignificant residual value and an estimated useful life of 20 years were allocated to the building. Depreciation on the building is accounted for in accordance with the straight-line method over the estimated useful life of the building. The SA Revenue Service allows a 5% annual building allowance on the building of this property in terms of section 13(quin) of the Income Tax Act, according to the straight- line method, not apportioned for a period shorter than a year.

4.4 Mobile laboratory units

On 30 June 20x22, SecureWater Ltd purchased two custom-designed mobile laboratory units, which are used to perform on-site water quality testing services, for R980 000 each. The mobile laboratory units were available for use, as intended by management, as well as brought into use on the acquisition date. On the acquisition date, an insignificant residual value was allocated to the mobile laboratory units, and the useful life of the mobile laboratory units was estimated to be 4 years. The accounting policy of SecureWater Ltd stipulates that mobile laboratory units are depreciated according to the straight-line method over their estimated useful lives.

The SA Revenue Service allows a tax allowance on the mobile laboratory units in terms of section 11(e) of the Income Tax Act, according to the straight- line method, over 5 years, apportioned for a period shorter than a year.

On 1 January 20x23, SecureWater Ltd sold one of the mobile laboratory units for R1 000 000.

Question 1 continued

The accounting clerk calculated the carrying amount and tax base, which you may assume to be correct, as follows:

	PPE: Mobile laboratory unit R	Sold: Mobile laboratory unit R	Total R
Tax base – 31 December 20x22	882 000	882 000	1 764 000
Carrying amount – 31 December 20x22	857 500	857 500	1 715 000
Less: Current year depreciation	(245 000)	-	(245 000)
Less: Carrying amount on date of sale		(857 500)	(857 500)
Carrying amount – 31 December 20x23	**612 500**	**-**	**612 500**

The depreciation of the remaining mobile laboratory unit and the sale of the above mobile laboratory unit have **not** yet been recorded in the accounting records of SecureWater Ltd for the year ended 31 December 20x23.

4.5 Test sample banking/storage

On 20 October 20x23, SecureWater Ltd entered into a five-year contract with SampleX Ltd to provide test sample banking/storage services. The first annual instalment of R18 000 was paid on 25 October 20x23 for the period from 1 November 20x23 until 31 October 20x24. The total payment was recorded as an expense in the accounting records of SecureWater Ltd for the year ended 31 December 20x23.

	REQUIRED	Marks
	a) Discuss the impact on the financial statements of SecureWater Ltd for the year ended 31 December 20x22, including any possible disclosure consequences, if the company could not ascertain beyond reasonable doubt that it will have sufficient taxable profit in future against which any deductible temporary differences can be utilised.	3
	b) Prepare the general journal entries to correctly account for the provisional tax payment made on 31 July 20x23, including interest, as well as the dividend declared on 18 December 2023, in the accounting records of SecureWater Ltd for the year ended 31 December 20x23.	7
	c) Calculate the correct profit before tax in the statement of profit or loss and other comprehensive income of SecureWater Ltd for the year ended 31 December 20x23.	3½
	d) Calculate the deferred tax balance in the statement of financial position of SecureWater Ltd for the year ended 31 December 20x23, using the **statement of financial position approach**. Indicate in your answer if the balance is a deferred tax asset or liability.	8½
	e) Calculate the current tax due to the SA Revenue Service as it will be disclosed in the statement of financial position of SecureWater Ltd on 31 December 20x23. Use the profit before tax calculated in (c) above as your starting point. **The movement in temporary differences in the current tax calculation should be calculated using the statement of financial position approach.**	8
	f) Disclose the income tax expense note, **excluding** the tax rate reconciliation, in the notes to the annual financial statements of SecureWater Ltd for the year ended 31 December 20x23. **No** comparative figures are required	3½
	g) For SecureWater Ltd to adhere to the disclosure requirements of IAS 12, Income taxes the company should include a tax rate reconciliation as part of their income tax expense note, which will be presented within the notes to the annual financial statements of the company for the year ended	6½

	31 December 20x23. The junior accountant is unsure what a tax rate reconciliation entails and what to include within such a reconciliation. Please write an e-mail to the junior accountant where you assist him on this matter. Your answer should include an explanation of what a tax rate reconciliation is and provide a list of the different items relating to the information given in the question that will have to be included within the tax rate reconciliation of SecureWater Ltd for the year ended 31 December 20x23. There is no need to calculate and include amounts applicable to the items that should be included within the tax rate reconciliation in your discussion. **Please note:** Your answer must comply with the requirements of *International Financial Reporting Standards (IFRS).* Accounting policy notes are **not** required. Comparative information is **not** required. Show all calculations. Do calculations to the nearest rand. Show the dates of each journal entry. Journal narrations are **not** required. Do not use abbreviations for any general ledger account names in your journals. Indicate in your journals if it is a statement of financial position (SFP) or a statement of profit or loss and other comprehensive income (P/L) general ledger account.	

Question 2 (27 marks) (49 minutes)

PestChem Ltd is a manufacturer of chemical pest control products for the agricultural sector in South Africa, situated in Potchefstroom in the Northwest province. The company has a financial year ending on 28 February.

The following information relates to the company's assets for the year ended 29 February 20x24.

Land – Rustenburg

PestChem Ltd expanded its operations to Rustenburg. On 1 March 20x21 the company purchased a vacant piece of land at a cost of R4 500 000. The land was revalued for the first time on 29 February 20x24 by an independent sworn appraiser at a fair value of R5 250 000. In future, the land will be revalued every three years.

New plant

PestChem Ltd started the construction of the new chemical pesticide plant in March 20x23 and it was completed on 20 January 20x24 at a cost of R58 000 000. The plant was available for use, as intended by management, on 1 February 20x24. The plant has an estimated useful life of 25 years, and no residual value was allocated to it. On 1 March 20x24 PestChem Ltd started the production of the first chemical pest control products.

South African legislation requires companies to dismantle and remove plants and rehabilitate the site at the end of the useful life of the plant. The total cost of the rehabilitation is estimated to be R16 750 000. PestChem Ltd estimates that 70% of the costs are attributable to the actual dismantling, removal and rehabilitation of the initial construction, whilst the remaining 30% of the costs are attributable to the rehabilitation of the site as a result of the production of chemicals. A pre-tax discount rate of 9% per annum is appropriate.

The financial accountant **correctly** accounted for the new chemical pesticide plant in the 20x24 financial year.

Dividend and royalty income

During the current financial year PestChem Ltd received a dividend of R37 500.

On 15 February 20x24 PestChem Ltd received royalty income amounting to R143 000. The amount was paid by a foreign company for the use of the patented pesticides of PestChem Ltd. An amount of R107 250 was deposited into PestChem Ltd's bank account after the withholding tax was deducted. Since a double tax agreement is in place, no South African tax is payable on this transaction. An amount of R107 250 was credited to royalty income by the accountant.

Tax information

The South African Revenue Service allows for the following capital allowances:

- 20% per annum on all plant, not apportioned for a part of the year.

All costs relating to the dismantling of the plant and rehabilitation of the environment will be deductible for tax in the year that the cost is paid in cash.

The South African normal tax rate is 27%. The capital gains tax inclusion rate is 80%.

For the financial year ended 28 February 20x23, the current tax was calculated as R367 250 by the financial accountant. According to the tax assessment received from the South African Revenue Service (SARS) on 30 June 20x23, certain expenses were not allowed as deductions. The tax payable according to the tax assessment is R379 500. The total payment was debited against the "Current tax payable" account.

PestChem Ltd failed to pay provisional tax on time during the 20x24 financial year; as a result, an amount of R25 850 was paid on 31 October 20x23 for the penalty and interest on the late payment of provisional tax. The amount was correctly included in expenses for the year.

Question 2 continued

The credit balances on the deferred tax account amounted to R245 000 on 28 February 20x23 and R352 000 on 28 February 20x24 before considering any information relating to the land and the new chemical plant.

The financial accountant calculated the profit before tax for the year ended 28 February 20x24 as R114 750 000 **after** he accounted for all the above information in the manner described.

The current tax for the year ended 28 February 20x24 has not been calculated yet.

Ignore Value Added Tax (VAT).

Accounting policies

The following is an extract from the accounting policies of PestChem Ltd:

- Owner-occupied land is accounted for using the revaluation model. Revaluations will be made with sufficient regularity to ensure that carrying amounts do not differ materially from that, which would be determined using fair values at the end of the reporting period. It is company policy to realise any revaluation surplus upon disposal of the underlying asset.
- Owner occupied plant is accounted for using the cost model.
- Depreciation on the plant is written off using the straight-line method over the estimated useful life of the asset.

	REQUIRED	Marks
	a) Prepare the correcting and outstanding general journal entries to account for the income tax expense of PestChem Ltd for the year ended 28 February 20x24 in accordance with International Financial Reporting Standards (IFRS). • Deferred tax journal entries are **not** required. • Show for all journal entries which section of the financial statements will be affected (e.g., SFP, OCI, P/L, equity). • Round all calculated amounts to the nearest rand.	11 1
	b) Use Microsoft Word to answer the following question: Discuss how the deferred tax relating to the revaluation of the land will be calculated in accordance with IAS 12, *Income Taxes*, as at 28 February 20x24. • **Do not** discuss the definition of an asset. • **Do not** discuss the exemption in IAS 12.15(b), as it does **not** apply. • Support your answer with reference to calculated amounts. However, do **not** provide a deferred tax calculation without discussing it, as it will not be marked.	14 1
	Communication mark – Logical argument	